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Equity Research

WELLS FARGO

Earnings Revised — January 29, 2026

IT Hardware & Communications Networking

Apple Inc.

iPhone 17 Cycle Drives EPS Higher; Internal Silicon Blunts Memory Headwinds

Overweight
Price Target: $300.00

Our Call

Increasing estimates after Apple delivered impressive F1Q26 on improving Chinese iPhone demand + record margins. We're increasing our F2026 iPhone rev. est to $244B from $229B; focus on memory inflation + capacity constraints to persist.

What Matters Most:

- **iPhone 17 Strength in China:** Apple had its best iPhone quarter in its China history (+38% y/y, ~18% revenue share) w/ in-store traffic up strong double-digits y/y andbrand switching record high. Management noted that the majority of non-iPhone product customers were new.
- **Memory Impact:** Management cited minimal memory based F1Q26 GM% impact, expects more memory impact in F2Q26 (incl. in guide). Management avoided committing to future price increases to offset memory inflation.
- **Gross Margin Strength:** Margins were at all-time highs w/ Products driven by mix and leverage (internal silicon), and Services GM% mix driven - we see Apple's move to internal silicon as a continued tailwind to help support Product GM% in the face of memory price increases. We model F2Q26 Product GM% at 38.1% w/ more impact in F2H26; now modeling F2026 Product GM% at 37.9% (vs. 36.8% 3-yr avg).
- **iPhone Supply Constraints:** Apple guided F2Q26 iPhone supply constraints w/ lean iPhone channel inventory (stronger-than-expected F1Q26) and 3nm driven supply constraints - no commentary on further quarters.
- **Gemini Integration:** Apple highlighted its Google partnership to develop next-gen Apple foundation models and repeatedly emphasized the relationship as a *collaboration* w/ updated Siri launching in '26. We see Apple's hybrid approach (on-device + cloud) and associated expenses accelerating.

F2Q26 Guide: Apple expects F2Q26 revenue to grow in 13%–16% y/y range or ~$107.8–$110.6B, or ~4% above prior Street est. Services growth guided similar to F1Q26 (~14% y/y), Product revenue growth implied at ~15% y/y. F2Q26 GM% guided b/w 48%–49% (Street: 47.6%), F2Q26 opex guided b/w $18.4–$18.7B (increasing R&D y/y), OI&E at ($100M), & tax @ ~17.5%. Guide reflects applicable tariffs under current policies.

Estimates Increase: We now model F2Q26 rev / EPS at $110.075B / $2.00 vs prior Street: $105.008B / $1.85. We increase our CY26 and CY27 ests from $454.3B / $8.36 and $459.7B / $9.34 to **$466.068B / $8.57** and **$468.923B / $9.43**. Maintain PT @ $300/sh. PT, ~32x CY27 P/E (vs ~29x 3-yr median NTM P/E).

Continued...

Notable Changes			
$ (Sep)	Current	Prior	% Chg
EPS 2026	8.53	8.24	3.6% ▲
EPS 2027	9.07	9.05	0.2% ▲
Rev. (MM) 2026	464.63B	453.14B	2.5% ▲
Rev. (MM) 2027	484.62B	473.40B	2.4% ▲

Ticker	AAPL
Upside/(Downside) to Target	**16.2%**
Price (01/29/2026)	**$258.28**
52 Week Range	$169.21 - 288.62
Market Cap (MM)	$3,838,973
Enterprise Value (MM)	$3,784,687
Average Daily Value (MM)	$12,087
Dividend Yield	0.4%

$ (Sep) EPS	Q1	Q2	Q3	Q4	FY
2026E	2.84 A	1.96 E	1.76 E	1.97 E	8.53 E
Prior	2.66 E	1.83 E	1.74 E	2.01 E	8.24 E
2027E	2.81 E	2.03 E	1.97 E	2.26 E	9.07 E
Prior	2.79 E	2.06 E	1.95 E	NC	9.05 E

Source: Company Data, Wells Fargo Securities estimates, and Factset. NA = Not Available, NC = No Change, NE = No Estimate

Aaron Rakers, CFA
Equity Analyst | Wells Fargo Securities, LLC
Aaron.Rakers@wellsfargo.com | 314-875-2508

Jake Wilhelm, CFA, CPA
Associate Equity Analyst | Wells Fargo Securities, LLC
Jake.Wilhelm@wellsfargo.com | 314-875-2502

Michael Tsvetanov, CFA
Associate Equity Analyst | Wells Fargo Securities, LLC
Michael.Tsvetanov@wellsfargo.com | 314-875-2558

Richard Strifler, CFA
Associate Equity Analyst | Wells Fargo Securities, LLC
Richard.Strifler@wellsfargo.com | 314-875-3234

All estimates/forecasts are as of 1/29/2026 unless otherwise stated. 1/29/2026 21:57:43EST. Please see page 11 for rating definitions, important disclosures and required analyst certifications. Wells Fargo Securities, LLC does and seeks to do business with companies covered in its research reports. As a result, investors should be aware that the firm may have a conflict of interest that could affect the objectivity of the report and investors should consider this report as only a single factor in making their investment decision.

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Wells Fargo Express Takeaways

Apple Inc. (AAPL) | Rating: Overweight | Price Target: $300.00
Analyst: Aaron Rakers

Financials

FY (Sep) $ ESTIMATES	2025A	2026E	2027E
EPS			
Q1	2.40 A	2.84 A	2.81 E
Q2	1.65 A	1.96 E	2.03 E
Q3	1.57 A	1.76 E	1.97 E
Q4	1.85 A	1.97 E	2.26 E
AN	7.46 A	8.53 E	9.07 E
Rev. (MM)	416.16B A	464.63B E	484.62B E
EBIT (MM)	133,050.0 A	151,784.8 E	156,574.2 E
EBITDA (MM)	144.75B A	165.21B E	171.36B E
FCF (MM)	98,767.0 A	116,358.1 E	91,781.1 E

WELLS FARGO vs. CONSENSUS			
Consensus Estimate	8.19 A	8.94 E	9.96 E
Difference from Consensus		(4.5)%	(8.9)%

VALUATION			
P/E	34.6x	30.3x	28.5x
EV/Revenue	9.1x	8.1x	7.8x
EV/EBIT	28.4x	24.9x	24.2x
EV/EBITDA	26.1x	22.9x	22.1x
EV/FCF	38.3x	32.5x	41.2x
FCF Yield	2.6%	3.0%	2.4%

Consensus Estimate: EPS; Source: VisibleAlpha
Source: Company Data, Wells Fargo Securities estimates, and Factset.
NA = Not Available, NE = No Estimate

Investment Thesis

Our Overweight rating reflects: 1) Apple's competitive differentiation and overall deepening product/services portfolio will create sustainable brand loyalty, 2) Apple's strong balance sheet and sustainable FCF generation; continually funding a strong capital return strategy, and 3) The continued expansion of Apple's recurring paid subscriber base.

Risk vs. Reward – Upside/Downside Price Target Scenarios

**As of 01/29/26*
Source: Wells Fargo Securities, LLC estimates and Factset.

Base Case | $300.00

Our $300 price target reflects ~32x P/E on our CY27E EPS estimate (note: Apple EPS includes stock-comp); we see a positive iPhone 16 / 17 upgrade cycle + expanding subscription customer base + LT AI-driven monetization to sustain a high-20x / low-30x P/E multiple. We now use a higher forward P/E multiple on expectation of Apple outlining Apple Intelligence strategy in 2026.

Upside Scenario | $330.00

Our $330 upside scenario reflects a mid-30x P/E on >$9.50/sh. EPS—assumes better-than-expected worldwide iPhone refresh cycle / market share gains as well as average revenue per user via increasing number of devices per user (i.e., ecosystem leverage) and greater services engagement.

Downside Scenario | $250.00

Our $250 downside scenario assumes Apple trades in the mid-20x P/E area (w/ CY27 EPS downside into $9/sh. range), given low-/no-growth smartphone market, limited share gains, and lackluster growth in average revenue per user.

Upcoming Catalysts

- Monthly smartphone data points
- F2Q25 results in Late March/April February
- Expanding Apple Intelligent capability rollouts
- Apple's anticipated rollout of first foldable iPhone with iPhone 18 product cycle in late-2026.

Company Description

Apple designs, manufactures, and markets smartphones, personal computers, wearable devices, and other consumer electronic products. Apple also develops its own operating systems, including iOS, watchOS, tvOS, and MacOS, for use in its products. The company sells its products through its online store, retail locations, direct sales force, and 3rd party cellular network carriers to a variety of end markets. The company was founded in 1976 and is headquartered in Cupertino, CA.

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F1Q26 Results: Apple reported F1Q26 rev. at $143.756B (+16% y/y) and non-GAAP EPS of $2.84, compared to our $138.858B / $2.66 est. (Street: $138.111 / $2.67). F1Q26 GM% was 48.2% vs. our 47.4% est. w/ Services GM% at 76.5% vs. our 75.7% est. Product GM% at 40.7% vs. our prior 39.6% est. & +446 bps q/q. Total installed base noted >2.5B active devices (new all-time high). Apple tariff-related costs roughly in-line w/ ~$1.4B guide at $1.4B.

Segment Results:

1) iPhone: Revenue of $85.269B was +23% y/y and +74% q/q, well above our $79.006B est. (Street: $78.600B). This compares to iPhone revenue up 79% q/q on avg. over prior five years. Greater China strength (+38% y/y, ~18% revenue share) w/ strong-DD% growth on brand switching, record iPhone revenue, and store traffic up strong-DD% y/y. iPhone supply constraints (F1Q26 demand above expects + advanced node driven), noted as a factor in F2Q26 guidance. Management also cited iPhone active install base at an all-time high and record quarter for upgraders in many markets including US, China, Mainland Japan, and India.

We est iPhone blended ASP in F1Q26 at ~$954, above our prior $947 est., and units in the ~89.3M range, compared to our prior 83.4M est. (note: preliminary C4Q25 iPhone ship estimates from Gartner and IDC were in the ~81–83M range).

Apple Intelligence: Apart from its Google partnerhship, Apple didn't provide any meaningful update on their AI strategy and reiterated that it plans to release more personalized Apple Intelligence features (incl. more personalized Siri) this year. While management disclosures on its Gemini partnership were limited, we remain interested in Apple plans/strategy for AI-powered Siri workloads - monetization and cloud serving ability (TPU workloads vs. PCC).

As a reminder, with its iPhone 17 launch (our note here) Apple spec footnotes highlight its Apple Intelligence on-device models use ~7GB storage (vs prior reports citing 4GB required w/ iOS 26).

2) Services: Services revenue totaled $30.013B (~26% of revenue) vs. our $29.986B estimate, +14% y/y and +4% q/q, citing revenue records in both developed & emerging markets, DD% growth in almost all markets. Services GM% at 76.5% (+124 bps q/q) compared to our / Street prior 75.7% estimate, driven by mix. Apple disclosed 850M App store WAUs, and DD% growth in paid subscribers.

3) Mac revenue was -6% y/y at $8.386B (-4% q/q), below our $9.731B estimate (Street: $9.090B), with the company highlightingtough y/y comp M4, Mac Mini, and iMac launches in F1Q25. Mac install base at an all-time high, and nearly ~50% of customers new to the product. **4) iPad** revenue totaled $8.595B (+6% y/y & +24% q/q), above our $7.878B estimate (Street: $8.187B) — Noted all-time record for upgraders, strength in A16 iPad Air and M5 iPad Pro. **5) Wearables, Home, and Accessories** revenue at $11.493B was (-2% y/y), below our $12.258B est. (Street: $12.204B). Management cited Airpods Pro 3 constraints a headwind (noted growth in unconstrained market dynamic). Wearables install base at all-time high, noted >50% Apple Watch customers new to the product.

Other Highlights:

- **Capital Return:** In F1Q26, Apple repurchased ~93M shares for $24.701B (vs. $23.606B in F1Q25), and paid $3.921B in dividends. Total share repo authorization now stands at ~$75B.
- **Free Cash Flow:**Apple generated $51.552B of FCF in F1Q26, +91% y/y vs. $26.995B a year ago. CFO totaled $53.925B, or ~37.5% of revenue, which compares to $29.935B a year ago (24.1% of revenue). When asked about changes in capex from AI investment moving forward, the company noted it will continue to focus on its hybrid data center approach while continuing to build its private cloud compute (PCC) (*Note:* Apple has previously noted it expects capex increases related to AI investments).
- **Geographies:** Apple reported **Greater China** revenue +38% y/y (18% of total revenue) vs. -4% y/y reported in F4Q25; Driven by iPhone (record upgraders & DD% growth on switching). **Americas** sales +11% y/y to $58.529B (41% of revenue) vs. +6% y/y in F4Q25, **Japan** revenue +5% y/y, **Europe** was +13% y/y, and the **Rest of Asia** +18% y/y vs. +14% the prior quarter.
- **Cash:** Apple exited the quarter with cash + investments at $144.8B vs. $132.4B exiting the prior quarter. With $90.509B in total debt, Apple exited F1Q26 with $54.3B in net cash, or $3.67/sh., which compares to $33.8B exiting F3Q25 and Apple's long-standing focus on driving toward a net-neutral cash position.

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- **Working Capital Considerations: 1.** Apple's inventory at $5.875B exiting F1Q26, compared to $5.718B and $6.911B in the prior and year-ago quarters. **2.** Vendor non-trade receivables totaled $30.399B, +3% y/y (vs. +1% y/y in the prior quarter) and -8% q/q (vs. -7.1%, -14.5%, and -9.6% for F1Q23, F1Q24, and F1Q25, respectively). As a reminder, this balance reflects Apple's component purchases on behalf of its manufacturing partners.

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Apple Results Summary:

Key Income Statement, Cash Flow, & Balance Sheet Results:

	F1Q22	F2Q22	F3Q22	F4Q22	F1Q23	F2Q23	F3Q23	F4Q23	F1Q24	F2Q24	F3Q24	F4Q24	F1Q25	F2Q25	F3Q25	F4Q25	F1Q26 Apple Rptd	F1Q26 Estimates Wells Fargo	F1Q26 Estimates Street	F2Q26E Wells Fargo Estimate New	F2Q26E Wells Fargo Estimate Prior	F2Q26E Prior Street
	Dec-21	Mar-22	Jun-22	Sep-22	Dec-22	Mar-23	Jun-23	Sep-23	Dec-23	Mar-24	Jun-24	Sep-24	Dec-24	Mar-25	Jun-25	Sep-25		Dec-25			Mar-26	
Segment Revenue:																						
iPhone	$71,628	$50,570	$40,665	$42,626	$65,775	$51,334	$39,669	$43,805	$69,702	$45,963	$39,296	$46,222	$69,138	$46,841	$44,582	$49,025	$85,269	$50,307	$78,600	$57,520	$51,425	$52,578
Mac	$10,852	$10,435	$7,382	$11,508	$7,735	$7,168	$6,840	$7,614	$7,780	$7,451	$7,009	$7,744	$8,987	$7,949	$8,046	$8,726	$8,386	$8,627	$9,090	$7,769	$7,769	$8,125
iPad	$7,248	$7,646	$7,224	$7,174	$9,396	$6,670	$5,791	$6,443	$7,023	$5,559	$7,162	$6,950	$8,088	$6,402	$6,581	$6,952	$8,595	$7,878	$8,187	$6,277	$6,807	$6,396
Wearables, Home & Accessories	$14,701	$8,806	$8,084	$9,650	$13,482	$8,757	$8,284	$9,322	$11,953	$7,913	$8,097	$9,042	$11,747	$7,522	$7,404	$9,013	$11,493	$12,258	$12,197	$8,045	$8,580	$7,798
Services	$19,516	$19,821	$19,604	$19,188	$20,766	$20,907	$21,213	$22,314	$23,117	$23,867	$24,213	$24,972	$26,340	$26,645	$27,423	$28,750	$30,013	$29,986	$30,057	$30,463	$30,496	$30,279
Total Revenue	**$123,945**	**$97,278**	**$82,959**	**$90,146**	**$117,154**	**$94,836**	**$81,797**	**$89,498**	**$119,575**	**$90,753**	**$85,777**	**$94,930**	**$124,300**	**$95,359**	**$94,036**	**$102,466**	**$143,756**	**$138,858**	**$138,111**	**$110,075**	**$105,077**	**$105,008**
Yr/Yr % Change	11.2%	8.6%	1.9%	8.1%	(5.5%)	(2.5%)	(1.4%)	(0.7%)	2.1%	(4.3%)	4.9%	6.1%	4.0%	5.1%	9.6%	7.9%	15.7%	11.7%	11.1%	15.4%	10.2%	10.1%
Q/Q % Change	48.7%	(21.5%)	(14.7%)	8.7%	30.0%	(19.1%)	(13.7%)	9.4%	33.6%	(24.1%)	(5.5%)	10.7%	30.9%	(23.3%)	(1.4%)	9.0%	40.3%	35.5%	34.8%	(23.4%)	(24.3%)	(24.4%)
Gross Income	$54,243	$42,559	$35,885	$38,095	$50,332	$41,976	$36,413	$40,427	$54,855	$42,271	$39,678	$43,879	$58,275	$44,867	$43,718	$48,341	$69,231	$65,813	$65,571	$53,746	$49,633	$50,017
Gross Margin %	**43.8%**	**43.7%**	**43.3%**	**42.3%**	**43.0%**	**44.3%**	**44.5%**	**45.2%**	**45.9%**	**46.6%**	**46.3%**	**46.2%**	**46.9%**	**47.1%**	**46.5%**	**47.2%**	**48.2%**	**47.4%**	**47.5%**	**48.8%**	**47.2%**	**47.6%**
Product GM%	38.4%	36.4%	34.5%	34.6%	37.0%	36.7%	35.4%	36.6%	39.4%	36.6%	35.3%	36.3%	39.3%	35.9%	34.5%	36.2%	40.7%	39.6%	39.6%	38.2%	35.8%	36.4%
Services GM%	72.4%	72.6%	71.5%	70.5%	70.8%	71.0%	70.5%	70.9%	72.8%	74.6%	74.0%	74.0%	75.0%	75.7%	75.6%	75.3%	76.5%	75.7%	75.7%	76.6%	75.2%	75.2%
Total Operating Expenses	$12,755	$12,580	$12,809	$13,201	$14,316	$13,658	$13,415	$13,458	$14,482	$14,371	$14,326	$14,288	$15,443	$15,278	$15,516	$15,914	$15,443	$15,443	$18,186	$18,052	$17,233	$17,486
Opex % of Revenue	10.3%	12.9%	15.4%	14.6%	12.2%	14.4%	16.4%	15.0%	12.1%	15.8%	16.7%	15.1%	12.4%	16.0%	16.5%	15.5%	10.7%	11.1%	13.2%	16.4%	16.4%	16.7%
EBIT	$41,488	$29,979	$23,076	$24,894	$36,016	$28,318	$22,998	$26,969	$40,373	$27,900	$25,352	$29,591	$42,832	$29,589	$28,202	$32,427	$50,852	$47,484	$47,384	$35,694	$32,400	$32,531
EBIT Margin	33.5%	30.8%	27.8%	27.6%	30.7%	29.9%	28.1%	30.1%	33.8%	30.7%	29.6%	31.2%	34.5%	31.0%	30.0%	31.6%	35.4%	34.2%	34.3%	32.4%	30.8%	31.0%
Other Income	($247)	$160	($10)	($237)	($393)	$64	($265)	$29	($50)	$158	$142	$19	($248)	($279)	($171)	$377	$150	($150)	$36	($100)	($100)	$21
Tax Rate	16.0%	17.0%	15.7%	16.0%	15.8%	14.9%	12.5%	15.0%	15.9%	15.8%	15.9%	15.6%	14.7%	15.5%	16.4%	16.3%	17.5%	17.0%	16.8%	17.5%	17.0%	16.6%
Net Income	**$34,630**	**$25,010**	**$19,442**	**$20,721**	**$29,998**	**$24,160**	**$19,881**	**$22,956**	**$33,916**	**$23,636**	**$21,448**	**$24,982**	**$36,330**	**$24,780**	**$23,434**	**$27,466**	**$42,097**	**$39,287**	**$39,456**	**$29,379**	**$26,809**	**$27,121**
Non-GAAP EPS	**$2.10**	**$1.52**	**$1.20**	**$1.29**	**$1.88**	**$1.52**	**$1.26**	**$1.46**	**$2.18**	**$1.53**	**$1.40**	**$1.64**	**$2.40**	**$1.65**	**$1.57**	**$1.85**	**$2.84**	**$2.66**	**$2.67**	**$2.00**	**$1.83**	**$1.85**
Fully Shares Outstanding	16,519	16,403	16,262	16,118	15,956	15,847	15,775	15,672	15,577	15,465	15,348	15,243	15,151	15,056	14,948	14,864	14,810	14,759	14,789	14,710	14,659	14,679
Cash Flow from Operations	$46,966	$28,166	$22,892	$24,127	$34,005	$28,560	$26,380	$21,598	$39,895	$22,690	$28,858	$26,811	$29,935	$23,952	$27,867	$29,728	$53,925					
- Capital Expenditures	($2,803)	($2,514)	($2,102)	($3,289)	($3,787)	($2,916)	($2,093)	($2,163)	($2,392)	($1,996)	($2,151)	($2,908)	($2,940)	($3,071)	($3,462)	($3,242)	($2,373)					
Free Cash Flow	**$44,163**	**$25,652**	**$20,790**	**$20,838**	**$30,218**	**$25,644**	**$24,287**	**$19,435**	**$37,503**	**$20,694**	**$26,707**	**$23,903**	**$26,995**	**$20,881**	**$24,405**	**$26,486**	**$51,552**					
- TTM Free Cash Flow	$101,853	$105,793	$107,582	$111,443	$97,498	$97,490	$100,987	$99,584	$106,869	$101,919	$104,339	$108,807	$98,299	$98,486	$96,184	$98,767	$123,324					
- TTM FCF per Share (avg)	$6.09	$6.38	$6.54	$6.83	$6.02	$6.08	$6.34	$6.30	$6.80	$6.52	$6.72	$7.06	$6.42	$6.48	$6.37	$6.58	$8.27					
Capital Return:																						
- Share Repurchase	$20,478	$22,631	$21,865	$24,428	$19,475	$19,594	$17,478	$21,003	$20,139	$23,205	$26,522	$25,083	$23,606	$25,898	$21,075	$20,132	$24,701					
- Dividends Paid	$3,732	$3,595	$3,811	$3,703	$3,768	$3,650	$3,849	$3,758	$3,825	$3,710	$3,895	$3,804	$3,856	$3,758	$3,945	$3,862	$3,921					
Total Capital Returned	**$24,210**	**$26,226**	**$25,676**	**$28,131**	**$23,243**	**$23,244**	**$21,327**	**$24,761**	**$23,964**	**$26,915**	**$30,417**	**$28,887**	**$27,462**	**$29,656**	**$25,020**	**$23,994**	**$28,622**					
- Trailing 12-Month Capital Returned	$96,260	$100,491	$99,500	$104,243	$103,276	$100,294	$95,945	$92,575	$93,296	$96,967	$106,057	$110,183	$113,681	$116,422	$111,025	$106,132	$107,292					
- % of TTM FCF	94.5%	95.0%	92.5%	93.5%	105.9%	102.9%	95.0%	93.0%	87.3%	95.1%	101.6%	101.3%	115.6%	118.2%	115.4%	107.5%	87.0%					
Ending Cash & Investments	$202,596	$192,730	$179,308	$169,109	$165,450	$166,333	$166,543	$162,099	$172,575	$162,337	$153,041	$156,650	$141,368	$132,922	$132,986	$132,420	$144,795					
- Total Debt	$122,798	$119,981	$119,691	$120,069	$111,110	$109,615	$109,280	$111,088	$108,040	$104,590	$101,304	$106,629	$96,799	$98,186	$101,698	$98,657	$90,509					
Net Cash	$79,798	$72,749	$59,617	$49,040	$54,340	$56,718	$57,263	$51,011	$64,535	$57,747	$51,737	$50,021	$44,569	$34,736	$31,288	$33,763	$54,286					
- Net Cash per Share	$4.83	$4.44	$3.67	$3.04	$3.41	$3.58	$3.63	$3.25	$4.14	$3.73	$3.37	$3.28	$2.94	$2.31	$2.09	$2.27	$3.67					
Inventory	$5,876	$5,460	$5,433	$4,946	$6,820	$7,482	$7,351	$6,331	$6,511	$6,232	$6,165	$7,286	$6,911	$6,269	$5,925	$5,718	$5,875					
- Seq. % Change	(10.7%)	(7.1%)	(0.5%)	(9.0%)	37.9%	9.7%	(1.8%)	(13.9%)	2.8%	(4.3%)	(1.1%)	18.2%	(5.1%)	(9.3%)	(5.5%)	(3.5%)	2.7%					

Apple Quarterly Guide History vs. Reported:

	F1Q22	F2Q22	F3Q22	F4Q22	F1Q23	F2Q23	F3Q23	F4Q23	F1Q24	F2Q24	F3Q24	F4Q24	F1Q25	F2Q25	F3Q25	F4Q25	F1Q26 Wells Fargo Dec-25	F2Q26E Wells Fargo Estimate Mar-26
Gross Margin %:																		
Low-End	41.5%	42.5%	42.0%	41.5%	42.5%	43.5%	44.0%	44.0%	45.0%	46.0%	45.5%	45.5%	46.0%	46.5%	45.5%	46.0%	47.0%	48.0%
High-End	42.5%	43.5%	43.0%	42.5%	43.5%	44.5%	44.5%	45.0%	46.0%	47.0%	46.5%	46.5%	47.0%	47.5%	46.5%	47.0%	48.0%	49.0%
Reported vs. Midpoint	1.76pp	0.75pp	0.76pp	0.26pp	-0.04pp	0.26pp	0.27pp	0.67pp	0.37pp	0.08pp	0.26pp	0.22pp	0.38pp	0.05pp	0.49pp	0.68pp	0.66pp	0.33pp
Operating Expenses:																		
Low-End	$12,400	$12,500	$12,700	$12,900	$14,700	$13,700	$13,600	$13,500	$14,400	$14,300	$14,300	$14,300	$15,300	$15,100	$15,300	$15,600	$18,100	$18,400
High-End	$12,600	$12,700	$12,900	$13,100	$14,900	$13,900	$13,800	$13,700	$14,600	$14,500	$14,500	$14,500	$15,500	$15,300	$15,500	$15,800	$18,500	$18,700
Reported vs. Midpoint	2.0%	(0.2%)	0.1%	1.5%	(3.3%)	(1.0%)	(2.1%)	(1.0%)	(0.1%)	(0.2%)	(0.5%)	(0.8%)	0.3%	0.5%	0.8%	1.4%	(15.6%)	(2.7%)

Source: Company Data; FactSet; Wells Fargo Securities, LLC Estimates

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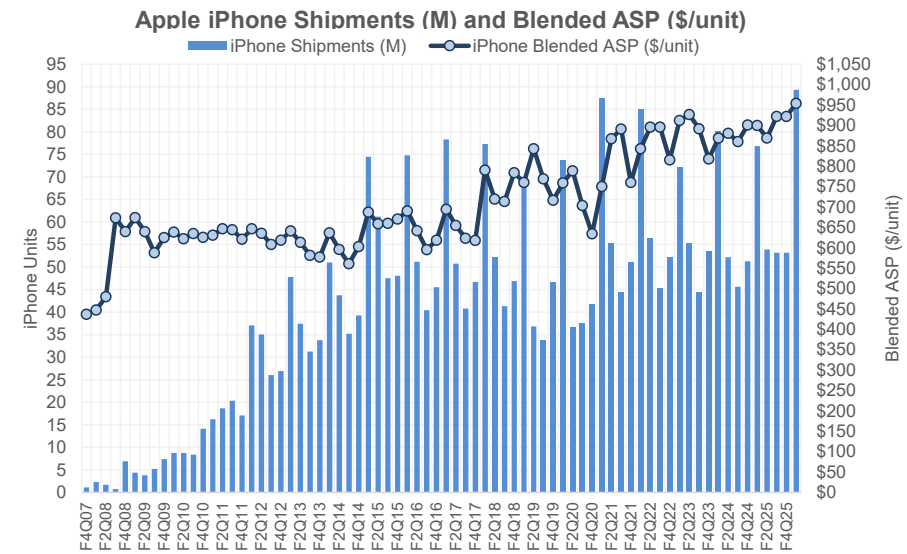
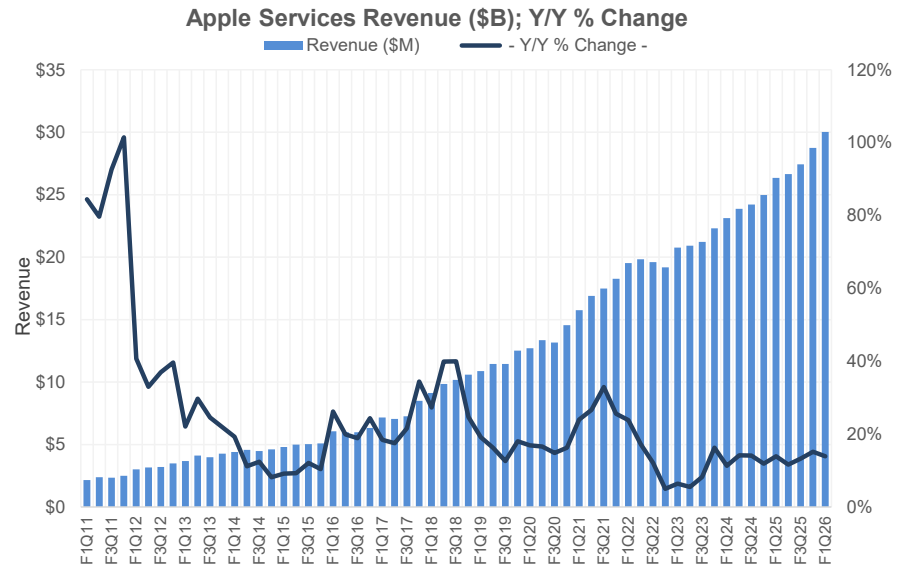
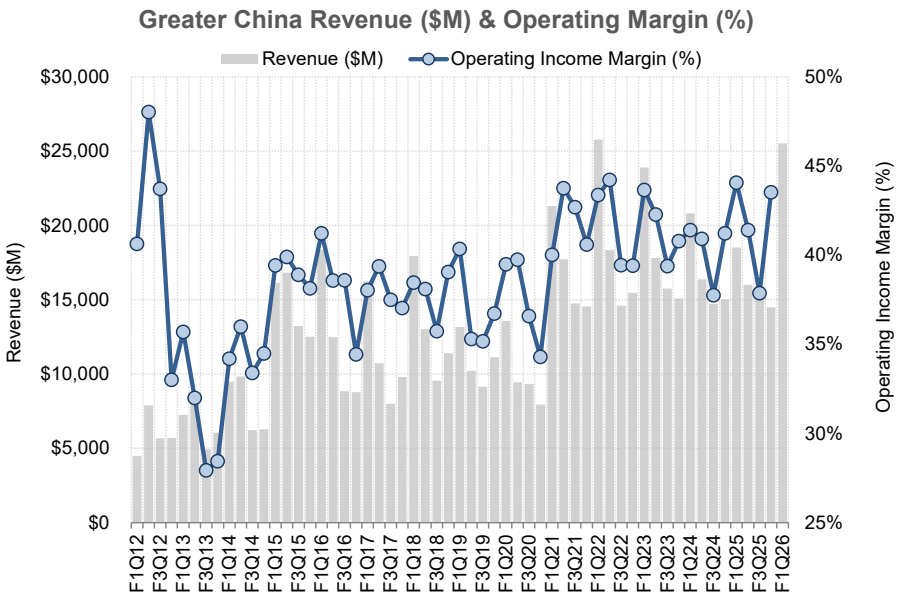


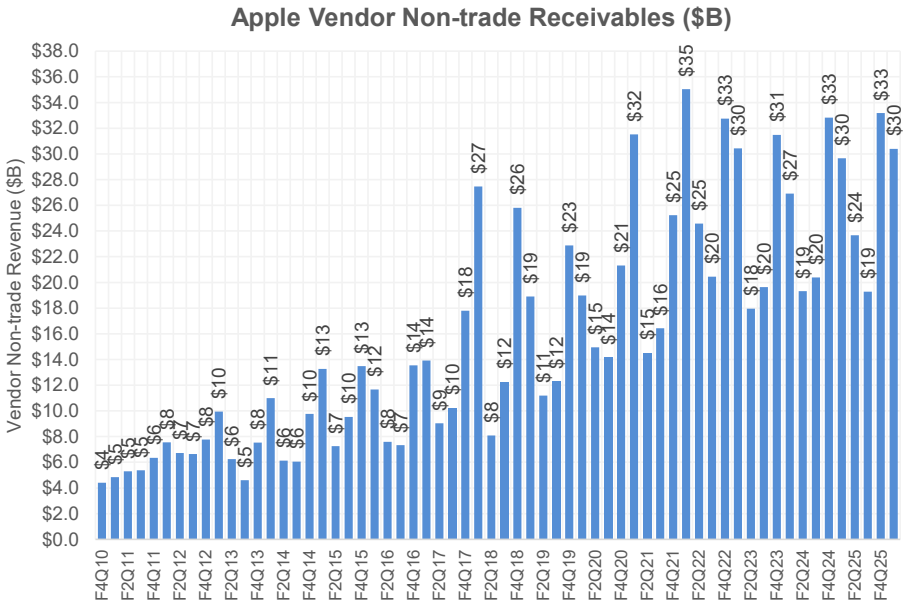
Source: Company Data; Wells Fargo Securities, LLC Estimates



Source: Company Data; Wells Fargo Securities, LLC Estimates



Source: Company Data; Wells Fargo Securities, LLC



Source: Company Data; Wells Fargo Securities, LLC

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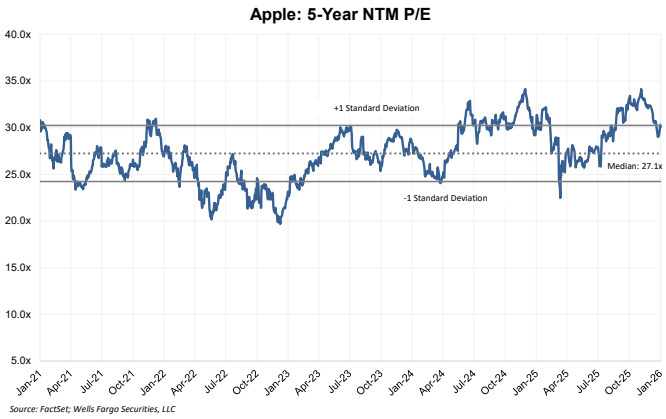

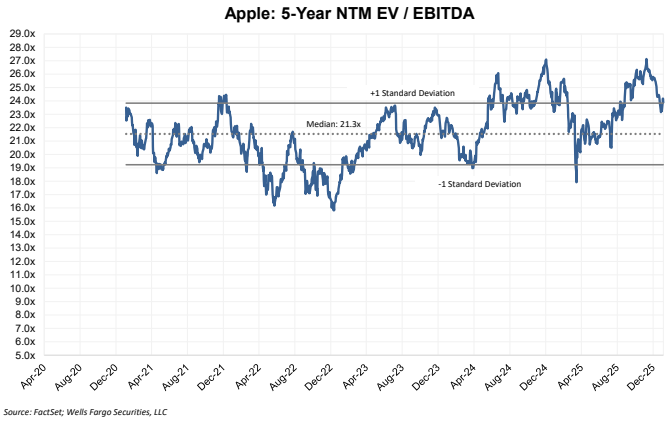

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Apple - Balance Sheet & Cash Flow Summary:

($ in Millions)

	F1Q22	F2Q22	F3Q22	F4Q22	F1Q23	F2Q23	F3Q23	F4Q23	F1Q24	F2Q24	F3Q24	F4Q24	F1Q25	F2Q25	F3Q25	F4Q25	F1Q26
	Dec-21	Mar-22	Jun-22	Sep-22	Dec-22	Mar-23	Jun-23	Sep-23	Dec-23	Mar-24	Jun-24	Sep-24	Dec-24	Mar-25	Jun-25	Sep-25	Dec-25
Total Cash & Investments	**$202,596**	**$192,730**	**$179,308**	**$169,109**	**$165,450**	**$166,333**	**$166,543**	**$162,099**	**$172,575**	**$162,337**	**$153,041**	**$156,650**	**$141,368**	**$132,922**	**$132,986**	**$132,420**	**$144,795**
- Less: Total Debt	$122,798	$119,981	$119,691	$120,069	$111,110	$109,615	$109,280	$111,088	$108,040	$104,590	$101,304	$106,629	$96,799	$98,186	$101,698	$98,657	$90,509
Net Cash & Investments	**$79,798**	**$72,749**	**$59,617**	**$49,040**	**$54,340**	**$56,718**	**$57,263**	**$51,011**	**$64,535**	**$57,747**	**$51,737**	**$50,021**	**$44,569**	**$34,736**	**$31,288**	**$33,763**	**$54,286**
- Net Cash per Share	$4.83	$4.44	$3.67	$3.04	$3.41	$3.58	$3.63	$3.25	$4.14	$3.73	$3.37	$3.28	$2.94	$2.31	$2.09	$2.27	$3.67
Total Inventory	**$5,876**	**$5,460**	**$5,433**	**$4,946**	**$6,820**	**$7,482**	**$7,351**	**$6,331**	**$6,511**	**$6,232**	**$6,165**	**$7,286**	**$6,911**	**$6,269**	**$5,925**	**$5,718**	**$5,875**
Vendor Non-Trade Receivables*	**$35,040**	**$24,585**	**$20,439**	**$32,748**	**$30,428**	**$17,963**	**$19,637**	**$31,477**	**$26,908**	**$19,313**	**$20,377**	**$32,833**	**$29,667**	**$23,662**	**$19,278**	**$33,180**	**10-Q**
Manufacturing Purchase Obligations (10-Q)	**$47,600**	**$40,600**	**$43,100**	**$71,100**	**$55,100**	**$40,500**	**$38,400**	**$53,100**	**$38,000**	**$34,200**	**$38,400**	**$53,000**	**$39,800**	**$38,400**	**$44,100**	**$56,200**	
- Mfg. Purchase Obligations Payable w/in 12-Months (10-Q)	$47,500	$40,500	$43,000	$68,400	$54,800	$40,100	$38,100	$52,900	$37,900	$34,100	$38,300	$52,900	$39,800	$38,400	$43,800	$55,400	
- Mfg. Purchase Obligations Payable >12-Months (10-Q)	$100	$100	$100	$2,700	$300	$400	$300	$200	$100	$100	$100	$100	$0	$0	$300	$800	
Total Inventory + Vendor Non-Trade Receivables + Mfg. Purch. Commits (12-Mo. Only)	**$88,416**	**$70,545**	**$68,872**	**$106,094**	**$92,048**	**$65,545**	**$65,088**	**$90,708**	**$71,319**	**$59,645**	**$64,842**	**$93,019**	**$76,378**	**$68,331**	**$69,003**	**$94,298**	
- Total Ratio / Product COGS	**0.45x**	**0.36x**	**0.36x**	**0.56x**	**0.49x**	**0.36x**	**0.36x**	**0.49x**	**0.38x**	**0.32x**	**0.34x**	**0.48x**	**0.38x**	**0.42x**	**0.27x**	**0.36x**	
- Forward 12-Month Product COGS	$197,927	$195,432	$193,083	$189,282	$186,957	$182,586	$183,253	$185,233	$186,240	$187,846	$191,663	$194,116	$202,147	$163,697	$252,605	$260,013	
Total Deferred Revenue (Implied by 10-Q Disclosure; Estimate)	**$12,403**	**$12,375**	**$12,075**	**$12,363**	**$12,591**	**$12,509**	**$12,194**	**$12,104**	**$12,521**	**$12,558**	**$12,622**	**$12,929**	**$13,262**	**$13,600**	**$13,605**	**$13,720**	**$14,262**
- Short-Term Deferred Revenue	$7,876	$7,920	$7,728	$7,912	$7,882	$8,131	$8,158	$8,061	$8,264	$8,012	$8,053	$8,249	$8,461	$8,976	$8,979	$9,055	$9,413
- Long-Term Deferred Revenue	$4,527	$4,455	$4,347	$4,451	$4,709	$4,378	$4,036	$4,043	$4,257	$4,546	$4,569	$4,680	$4,801	$4,624	$4,626	$4,665	$4,849
Cash Conversion Cycle (CCC):	**(55.6)**	**(72.5)**	**(63.9)**	**(64.2)**	**(55.1)**	**(54.7)**	**(54.3)**	**(63.9)**	**(56.0)**	**(63.1)**	**(56.4)**	**(65.1)**	**(57.5)**	**(66.3)**	**(57.6)**	**(61.6)**	**(53.6)**
Days Sales Oustanding	20.8	23.9	23.4	25.3	20.2	20.1	20.9	25.0	20.1	22.6	23.7	27.0	23.1	26.7	26.1	30.0	25.3
Days of Inventory	8.2	9.5	10.6	9.1	8.0	12.3	14.9	12.7	9.1	12.0	12.3	12.0	9.8	11.9	11.1	9.8	7.1
Days Payable Outstanding	84.5	105.9	97.9	98.6	83.3	87.1	90.1	101.6	85.1	97.8	92.4	104.1	90.4	104.9	94.8	101.4	86.0
Quarterly Cash Flow:																	
Cash Flow from Operations (CFO)	**$46,966**	**$28,166**	**$22,892**	**$24,127**	**$34,005**	**$28,560**	**$26,380**	**$21,598**	**$39,895**	**$22,690**	**$28,858**	**$26,811**	**$29,935**	**$23,952**	**$27,867**	**$29,728**	**$53,925**
- Less: Capital Expenditures	$2,803	$2,514	$2,102	$3,289	$3,787	$2,916	$2,093	$2,163	$2,392	$1,996	$2,151	$2,908	$2,940	$3,071	$3,462	$3,242	$2,373
Free Cash Flow (FCF)	**$44,163**	**$25,652**	**$20,790**	**$20,838**	**$30,218**	**$25,644**	**$24,287**	**$19,435**	**$37,503**	**$20,694**	**$26,707**	**$23,903**	**$26,995**	**$20,881**	**$24,405**	**$26,486**	**$51,552**
Trailing Twelve Month Cash Flow:																	
Cash Flow from Operations (CFO)	**$112,241**	**$116,426**	**$118,224**	**$122,151**	**$109,190**	**$109,584**	**$113,072**	**$110,543**	**$116,433**	**$110,563**	**$113,041**	**$118,254**	**$108,294**	**$109,556**	**$108,565**	**$111,482**	**$135,472**
- Less: Capital Expenditures	$10,388	$10,633	$10,642	$10,708	$11,692	$12,094	$12,085	$10,959	$9,564	$8,644	$8,702	$9,447	$9,995	$11,070	$12,381	$12,715	$12,148
Free Cash Flow (FCF)	**$101,853**	**$105,793**	**$107,582**	**$111,443**	**$97,498**	**$97,490**	**$100,987**	**$99,584**	**$106,869**	**$101,919**	**$104,339**	**$108,807**	**$98,299**	**$98,486**	**$96,184**	**$98,767**	**$123,324**
- FCF/Share	**$6.11**	**$6.39**	**$6.54**	**$6.81**	**$6.03**	**$6.08**	**$6.34**	**$6.29**	**$6.81**	**$6.53**	**$6.73**	**$7.05**	**$6.43**	**$6.48**	**$6.37**	**$6.58**	**$8.28**
TTM Capex % of Revenue	2.7%	2.8%	2.7%	2.7%	3.0%	3.1%	3.1%	2.9%	2.5%	2.3%	2.3%	2.4%	2.5%	2.8%	3.0%	3.1%	2.8%
TTM FCF % of Revenue	26.9%	27.4%	27.8%	28.3%	25.2%	25.3%	26.3%	26.0%	27.7%	26.7%	27.1%	27.8%	24.8%	24.6%	23.5%	23.7%	28.3%
TTM FCF % of EBITDA	79.4%	81.0%	83.0%	85.4%	77.8%	78.8%	81.5%	79.1%	82.1%	78.6%	79.2%	80.8%	71.6%	70.9%	67.9%	68.2%	80.7%
Share Repurchase Spend	**$20,478**	**$22,631**	**$21,865**	**$24,428**	**$19,475**	**$19,594**	**$17,478**	**$21,003**	**$20,139**	**$23,205**	**$26,522**	**$25,083**	**$23,606**	**$25,898**	**$21,075**	**$20,132**	**$24,701**
- Shares Repurchased	126.444	146.821	142.708	160.172	132.839	129.000	102.673	106.595	118.047	130.292	138.773	112.260	99.790	108.120	104.264	89.000	93.000
Avg. Price per Share	$161.95	$154.14	$153.21	$152.51	$146.61	$151.89	$170.23	$197.04	$170.60	$178.10	$191.12	$223.44	$236.56	$239.53	$202.13	$226.20	$265.60
Remaining Share Repurchaes Authorization	**$40,489**	**$17,579**	**$85,877**	**$60,665**	**$41,665**	**$112,570**	**$94,569**	**$74,069**	**$53,569**	**$250,069**	**$224,074**	**$199,074**	**$175,779**	**$150,779**	**$229,779**	**$209,779**	**$110,000**
- Days of Trading Volume Purchased (Using Qtr Avg. Daily Volume)	1.42	1.55	1.52	2.03	1.58	1.87	1.79	1.82	2.23	2.11	2.03	2.05	2.28	2.05	1.66	1.60	2.05
Quarterly Dividends Paid	**$3,732**	**$3,595**	**$3,811**	**$3,703**	**$3,768**	**$3,650**	**$3,849**	**$3,758**	**$3,825**	**$3,710**	**$3,895**	**$3,804**	**$3,856**	**$3,758**	**$3,945**	**$3,862**	**$3,921**
Trailing 12-Month Share Repo + Dividends Paid	**$96,260**	**$100,491**	**$99,500**	**$104,243**	**$103,276**	**$100,294**	**$95,945**	**$92,575**	**$93,296**	**$96,967**	**$106,057**	**$110,183**	**$113,681**	**$116,422**	**$111,025**	**$106,132**	**$107,292**
- % of Trailing 12-Month FCF	**94.5%**	**95.0%**	**92.5%**	**93.5%**	**105.9%**	**102.9%**	**95.0%**	**93.0%**	**87.3%**	**95.1%**	**101.6%**	**101.3%**	**115.6%**	**118.2%**	**115.4%**	**107.5%**	**87.0%**

** Vendor Non-Trade Receivables = non-trade receivables from certain of its manufacturing vendors from the sale of components to these vendors who manufacture subassemblies and assemble final products for Apple*

Source: Company Data; Wells Fargo Securities, LLC Estimates

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Apple Inc

Income Statement Summary

($ in Millions, Except per Share; Units Shipped in Millions)

	FY2024					FY2025					Last Rptd	Wells Fargo == Estimates ==> FY2026E				FY2027E					Calendar Year				
	F1Q24	F2Q24	F3Q24	F4Q24	Total	F1Q25	F2Q25	F4Q25	F4Q25	Total	F1Q26	F2Q26E	F3Q26E	F4Q26E	Total	F1Q27E	F2Q27E	F3Q27E	F4Q27E	Total	C2022	C2023	C2024	C2025E	C2026E
Units Shipped (MM)																									
Macs	6.00	5.55	5.03	5.60	22.18	6.33	5.93	6.28	6.28	24.82	6.78	5.83	5.48	6.58	24.67	7.10	6.25	5.75	6.90	26.01	26.82	21.53	22.50	25.27	25.00
iPad	16.41	12.66	16.43	15.03	60.53	16.77	12.94	14.07	14.07	57.85	15.76	13.08	14.12	13.56	56.52	14.24	12.81	13.45	13.99	54.50	73.35	59.64	60.89	56.83	55.00
iPhone	80.20	52.18	45.67	51.28	229.33	76.82	53.90	53.18	53.18	237.08	89.35	61.20	50.80	57.40	258.75	86.10	58.55	51.52	59.00	255.18	226.20	233.64	225.95	249.61	255.51
Total Units	**102.61**	**70.38**	**67.13**	**71.91**	**312.04**	**99.92**	**72.77**	**73.53**	**73.53**	**319.75**	**111.89**	**80.11**	**70.40**	**77.54**	**339.94**	**107.45**	**77.62**	**70.73**	**79.89**	**335.68**	**326.38**	**314.81**	**309.34**	**331.71**	**335.50**
ASPs ($/Unit)																									
Macs	$1,296	$1,343	$1,394	$1,382	$1,352	$1,420	$1,340	$1,282	$1,390	$1,358	$1,237	$1,345	$1,375	$1,395	$1,335	$1,420	$1,360	$1,405	$1,400	$1,397	$1,382	$1,366	$1,386	$1,310	$1,386
iPad	$428	$439	$436	$463	$441	$482	$495	$468	$494	$484	$546	$480	$470	$475	$495	$495	$490	$475	$480	$485	$429	$435	$456	$502	$480
iPhone	$869	$881	$860	$901	$877	$900	$869	$922	$922	$884	$954	$933	$940	$935	$942	$955	$950	$980	$960	$960	$883	$875	$888	$904	$942
Total Unit ASPs ($/unit)	**$824**	**$838**	**$797**	**$847**	**$826**	**$863**	**$841**	**$805**	**$880**	**$849**	**$914**	**$889**	**$880**	**$894**	**$947**	**$925**	**$907**	**$919**	**$914**	**$1,001**	**$822**	**$825**	**$839**	**$866**	**$900**
Sales ($M)																									
Macs	$7,780	$7,451	$7,009	$7,744	$29,984	$8,987	$7,949	$8,046	$8,726	$33,708	$8,386	$7,843	$7,537	$9,176	$32,943	$10,088	$8,502	$8,081	$9,663	$36,334	$37,060	$29,402	$31,191	$33,107	$34,645
iPad	$7,023	$5,559	$7,162	$6,950	$26,694	$8,088	$6,402	$6,581	$6,952	$28,023	$8,595	$6,277	$6,638	$6,440	$27,951	$7,047	$6,278	$6,391	$6,716	$26,432	$31,440	$25,927	$27,759	$28,530	$26,403
iPhone	$69,702	$45,963	$39,296	$46,222	$201,183	$69,138	$46,841	$44,582	$49,025	$209,586	$85,269	$57,103	$47,751	$53,672	$243,794	$82,229	$55,623	$50,494	$56,636	$244,983	$199,636	$204,510	$200,619	$225,717	$240,755
Total Services Revenue	$23,117	$23,867	$24,213	$24,972	$96,169	$26,340	$26,645	$27,423	$28,750	$109,158	$30,013	$30,463	$30,859	$31,847	$123,182	$33,423	$34,158	$34,329	$36,046	$137,956	$79,379	$87,551	$99,392	$112,831	$126,592
Other Products (Includes Apple Watch)	$11,953	$7,913	$8,097	$9,042	$37,005	$11,747	$7,522	$7,404	$9,013	$35,686	$11,493	$8,045	$8,126	$9,101	$36,764	$12,013	$8,649	$8,649	$9,601	$38,912	$40,022	$38,316	$36,799	$35,432	$37,284
Revenue	**$119,575**	**$90,753**	**$85,777**	**$94,930**	**$391,035**	**$124,300**	**$95,359**	**$94,036**	**$102,466**	**$416,161**	**$143,756**	**$109,732**	**$100,911**	**$110,236**	**$464,634**	**$144,801**	**$113,212**	**$107,944**	**$118,661**	**$484,617**	**$387,537**	**$385,706**	**$395,760**	**$435,617**	**$465,679**
Cost of Sales	$64,720	$48,482	$46,099	$51,051	$210,352	$66,025	$50,492	$50,318	$54,125	$220,960	$74,525	$56,196	$52,480	$57,937	$241,138	$76,730	$58,939	$55,456	$61,184	$252,309	$220,666	$212,035	$211,657	$229,460	$243,343
Gross Margin	**$54,855**	**$42,271**	**$39,678**	**$43,879**	**$180,683**	**$58,275**	**$44,867**	**$43,718**	**$48,341**	**$195,201**	**$69,231**	**$53,536**	**$48,431**	**$52,299**	**$223,496**	**$68,070**	**$54,272**	**$52,489**	**$57,477**	**$232,308**	**$166,871**	**$173,671**	**$184,103**	**$206,157**	**$222,336**
Operating Expenses																									
R&D	$7,696	$7,903	$8,006	$7,765	$31,370	$8,268	$8,550	$8,866	$8,866	$34,550	$10,887	$11,193	$9,990	$10,142	$42,212	$10,860	$11,095	$10,848	$10,917	$43,720	$27,654	$29,902	$31,942	$37,169	$42,185
SG&A	$6,786	$6,468	$6,320	$6,523	$26,097	$7,175	$6,728	$6,650	$7,048	$27,601	$7,492	$7,352	$7,215	$7,441	$29,500	$8,254	$7,925	$7,826	$8,010	$32,014	$25,252	$25,111	$26,486	$27,918	$30,262
Total Operating Expenses	**$14,482**	**$14,371**	**$14,326**	**$14,288**	**$57,467**	**$15,443**	**$15,278**	**$15,516**	**$15,914**	**$62,151**	**$18,379**	**$18,545**	**$17,205**	**$17,583**	**$71,712**	**$19,114**	**$19,020**	**$18,674**	**$18,926**	**$75,734**	**$52,906**	**$55,013**	**$58,428**	**$65,087**	**$72,446**
Operating Income (EBIT)	**$40,373**	**$27,900**	**$25,352**	**$29,591**	**$123,216**	**$42,832**	**$29,589**	**$28,202**	**$32,427**	**$133,050**	**$50,852**	**$34,991**	**$31,225**	**$34,716**	**$151,785**	**$48,957**	**$35,253**	**$33,814**	**$38,551**	**$156,574**	**$113,965**	**$118,658**	**$125,675**	**$141,070**	**$149,889**
EBITDA	*$43,221*	*$30,736*	*$28,202*	*$32,502*	*$134,661*	*$45,912*	*$32,250*	*$31,032*	*$35,554*	*$144,748*	*$54,066*	*$38,363*	*$34,584*	*$38,192*	*$165,205*	*$52,640*	*$38,907*	*$37,474*	*$42,344*	*$171,365*	$125,288	$130,109	$137,352	$152,902	$163,779
Other Income & Expenses	-$50	$158	$142	$19	$269	-$248	-$279	-$171	$377	-$321	$150	-$100	-$120	-$120	-$190	-$100	-$100	-$100	-$100	-$400	-$480	-$222	$71	$77	-$440
Pretax Income	**$40,323**	**$28,058**	**$25,494**	**$29,610**	**$123,485**	**$42,584**	**$29,310**	**$28,031**	**$32,804**	**$132,729**	**$51,002**	**$34,891**	**$31,105**	**$34,596**	**$151,595**	**$48,857**	**$35,153**	**$33,714**	**$38,451**	**$156,174**	**$113,485**	**$118,436**	**$125,746**	**$141,147**	**$149,449**
Taxes	$6,407	$4,422	$4,046	$4,628	$19,503	$6,254	$4,530	$4,597	$5,338	$20,719	$8,905	$6,092	$5,431	$6,040	$26,469	$8,530	$6,138	$5,887	$6,714	$27,268	$18,314	$17,523	$19,350	$23,370	$26,094
Net Income (Non-GAAP)	**$33,916**	**$23,636**	**$21,448**	**$24,982**	**$103,982**	**$36,330**	**$24,780**	**$23,434**	**$27,466**	**$112,010**	**$42,097**	**$28,799**	**$25,674**	**$28,555**	**$125,126**	**$40,326**	**$29,015**	**$27,828**	**$31,737**	**$128,906**	**$95,171**	**$100,913**	**$106,396**	**$117,777**	**$123,355**
EPS (Non-GAAP; Headline)	**$2.18**	**$1.53**	**$1.40**	**$1.64**	**$6.74**	**$2.40**	**$1.65**	**$1.57**	**$1.85**	**$7.46**	**$2.84**	**$1.96**	**$1.76**	**$1.97**	**$8.53**	**$2.81**	**$2.03**	**$1.97**	**$2.26**	**$9.07**	**$5.89**	**$6.43**	**$6.96**	**$7.90**	**$8.50**
Fully Diluted Shares	*15,577*	*15,465*	*15,348*	*15,243*	*15,408*	*15,151*	*15,056*	*14,948*	*14,864*	*15,005*	*14,810*	*14,710*	*14,590*	*14,480*	*14,648*	*14,360*	*14,260*	*14,140*	*14,045*	*14,202*					
Margin Summary																									
Gross Margin	45.9%	46.6%	46.3%	46.2%	46.2%	46.9%	47.1%	46.5%	47.2%	46.9%	48.2%	48.8%	48.0%	47.4%	48.1%	47.0%	47.9%	48.6%	48.4%	47.9%	43.1%	45.0%	46.5%	47.3%	47.7%
Operating Margin (EBIT)	33.8%	30.7%	29.6%	31.2%	31.5%	34.5%	31.0%	30.0%	31.6%	32.0%	35.4%	31.9%	30.9%	31.5%	32.7%	33.8%	31.1%	31.3%	32.5%	32.3%	29.4%	30.8%	31.8%	32.4%	32.2%
-- Operating Expenses - % of Rev.	12.1%	15.8%	16.7%	15.1%	14.7%	12.4%	16.0%	16.5%	15.5%	14.9%	12.8%	16.9%	17.1%	16.0%	15.4%	13.2%	16.8%	17.3%	16.0%	15.6%	13.7%	14.3%	14.8%	14.9%	15.6%
EBITDA Margin	**36.1%**	**33.9%**	**32.9%**	**34.2%**	**34.4%**	**36.9%**	**33.8%**	**33.0%**	**34.7%**	**34.8%**	**37.6%**	**35.0%**	**34.3%**	**34.6%**	**35.6%**	**36.4%**	**34.4%**	**34.7%**	**35.7%**	**35.4%**	**32.3%**	**33.7%**	**34.7%**	**35.1%**	**35.2%**
Pretax Margin	33.7%	30.9%	29.7%	31.2%	31.6%	34.3%	30.7%	29.8%	32.0%	31.9%	35.5%	31.8%	30.8%	31.4%	32.6%	33.7%	31.1%	31.2%	32.4%	32.2%	29.3%	30.7%	31.8%	32.4%	32.1%
Tax Rate	15.9%	15.8%	15.9%	15.6%	15.8%	14.7%	15.5%	16.4%	16.3%	15.6%	17.5%	17.5%	17.5%	17.5%	17.5%	17.5%	17.5%	17.5%	17.5%	17.5%	16.1%	14.8%	15.4%	16.6%	17.5%
Net Income Margin	28.4%	26.0%	25.0%	26.3%	26.6%	29.2%	26.0%	24.9%	26.8%	26.9%	29.3%	26.2%	25.4%	25.9%	26.9%	27.8%	25.6%	25.8%	26.7%	26.6%	24.6%	26.2%	26.9%	27.0%	26.5%
Yr/Yr Growth %																									
Revenue	2.1%	-4.3%	4.9%	6.1%	2.0%	4.0%	5.1%	9.6%	7.9%	6.4%	15.7%	15.1%	7.3%	7.6%	11.6%	0.7%	3.2%	7.0%	7.6%	4.3%	2.4%	-0.5%	2.6%	10.1%	6.9%
Gross Profit	9.0%	0.7%	9.0%	8.5%	6.8%	6.2%	6.1%	10.2%	10.2%	8.0%	18.8%	19.3%	10.8%	8.2%	14.5%	-1.7%	1.4%	8.4%	9.9%	3.9%	2.5%	4.1%	6.0%	12.0%	7.8%
Operating Margin (EBIT)	12.1%	-1.5%	10.2%	9.7%	7.8%	6.1%	6.1%	11.2%	9.6%	8.0%	18.7%	18.3%	10.7%	7.1%	14.1%	-3.7%	0.7%	8.3%	11.0%	3.2%	-2.5%	4.1%	5.9%	12.2%	6.3%
-- Operating Expenses	1.2%	5.2%	6.8%	6.2%	4.8%	6.6%	6.3%	8.3%	11.4%	8.2%	19.0%	21.4%	10.9%	10.5%	15.4%	4.0%	2.6%	8.5%	7.6%	5.6%	15.4%	4.0%	6.2%	11.4%	11.3%
EBTIDA	11.0%	-1.5%	8.3%	9.7%	7.0%	6.2%	4.9%	10.0%	9.4%	7.5%	17.8%	19.0%	11.4%	7.4%	14.1%	-2.6%	1.4%	8.4%	10.9%	3.7%	-2.3%	3.8%	5.6%	11.3%	7.1%
Pretax Income	13.2%	-1.1%	12.1%	9.7%	8.6%	5.6%	4.5%	10.0%	10.8%	7.5%	19.8%	19.0%	11.0%	5.5%	14.2%	-4.2%	0.7%	8.4%	11.1%	3.0%	-2.9%	4.4%	6.2%	12.2%	5.9%
Net Income	13.1%	-2.2%	7.9%	8.8%	7.2%	7.1%	4.8%	9.3%	9.9%	7.7%	15.9%	16.2%	9.6%	4.0%	11.7%	-4.2%	0.7%	8.4%	11.1%	3.0%	-5.4%	6.0%	5.4%	10.7%	4.7%
EPS	15.8%	0.2%	10.9%	11.9%	10.0%	10.1%	7.7%	12.2%	12.7%	10.6%	18.5%	19.0%	12.2%	6.7%	14.4%	-1.2%	3.9%	11.8%	14.6%	6.3%	-2.3%	9.2%	8.3%	13.5%	7.5%
Seq. Growth %																									
Revenue	33.6%	-24.1%	-5.5%	10.7%		30.9%	-23.3%	-1.4%	9.0%		40.3%	-23.7%	-8.0%	9.2%		31.4%	-21.8%	-4.7%	9.9%						
Gross Profit	35.7%	-22.9%	-6.1%	10.6%		32.8%	-23.0%	-2.6%	10.6%		43.2%	-22.7%	-9.5%	8.0%		30.2%	-20.3%	-3.3%	9.5%						
Operating Margin (EBIT)	49.7%	-30.9%	-9.1%	16.7%		44.7%	-30.9%	-4.7%	15.0%		56.8%	-31.2%	-10.8%	11.2%		41.0%	-28.0%	-4.1%	14.0%						
-- Operating Expenses	7.6%	-0.8%	-0.3%	-0.3%		8.1%	-1.1%	1.6%	2.6%		15.5%	0.9%	-7.2%	2.2%		8.7%	-0.5%	-1.8%	1.3%						
EBTIDA	45.9%	-28.9%	-8.2%	15.2%		41.3%	-29.8%	-3.8%	14.6%		52.1%	-29.0%	-9.9%	10.4%		37.8%	-26.1%	-3.7%	13.0%						
Pretax Income	49.4%	-30.4%	-9.1%	16.1%		43.8%	-31.2%	-4.4%	17.0%		55.5%	-31.6%	-10.9%	11.2%		41.2%	-28.0%	-4.1%	14.0%						
Net Income	47.7%	-30.3%	-9.3%	16.5%		45.4%	-31.8%	-5.4%	17.2%		53.3%	-31.6%	-10.9%	11.2%		41.2%	-28.0%	-4.1%	14.0%						
EPS	48.7%	-29.8%	-8.6%	17.3%		46.3%	-31.4%	-4.7%	17.9%		53.8%	-31.1%	-10.1%	12.1%		42.4%	-27.5%	-3.3%	14.8%						

Source: Company Data, Wells Fargo Securities, LLC Estimates

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Investment Thesis, Valuation and Risks

Apple Inc. (AAPL)

Investment Thesis

Our Overweight rating reflects: 1) Apple's competitive differentiation and overall deepening product/services portfolio will create sustainable brand loyalty, 2) Apple's strong balance sheet and sustainable FCF generation; continually funding a strong capital return strategy, and 3) The continued expansion of Apple's recurring paid subscriber base.

Target Price Valuation for AAPL: $300.00 from NC

Our $300 price target reflects ~32x P/E on our CY27E EPS estimate (note: Apple EPS includes stock-comp); we see a positive iPhone 16 / 17 upgrade cycle + expanding subscription customer base + LT AI-driven monetization to sustain a high-20x / low-30x P/E multiple. We now use a higher forward P/E multiple on expectation of Apple outlining Apple Intelligence strategy in 2026.

Risks to Our Price Target and Rating for AAPL

Risks include: (1) Reinventing product momentum — can Apple sustain current level of product innovation? (2) Emerging competition; pricing pressure; (3) Component pricing volatility and gross margin impacts; (4) Supply chain disruptions; (5) Legal disputes; and (6) Execution missteps.

Companies Mentioned in Report

Company Name	Ticker	Last Price (01/29/26)	Rating
Apple Inc.	AAPL	$258.28	Overweight

Source: Wells Fargo Securities LLC Estimates, FactSet

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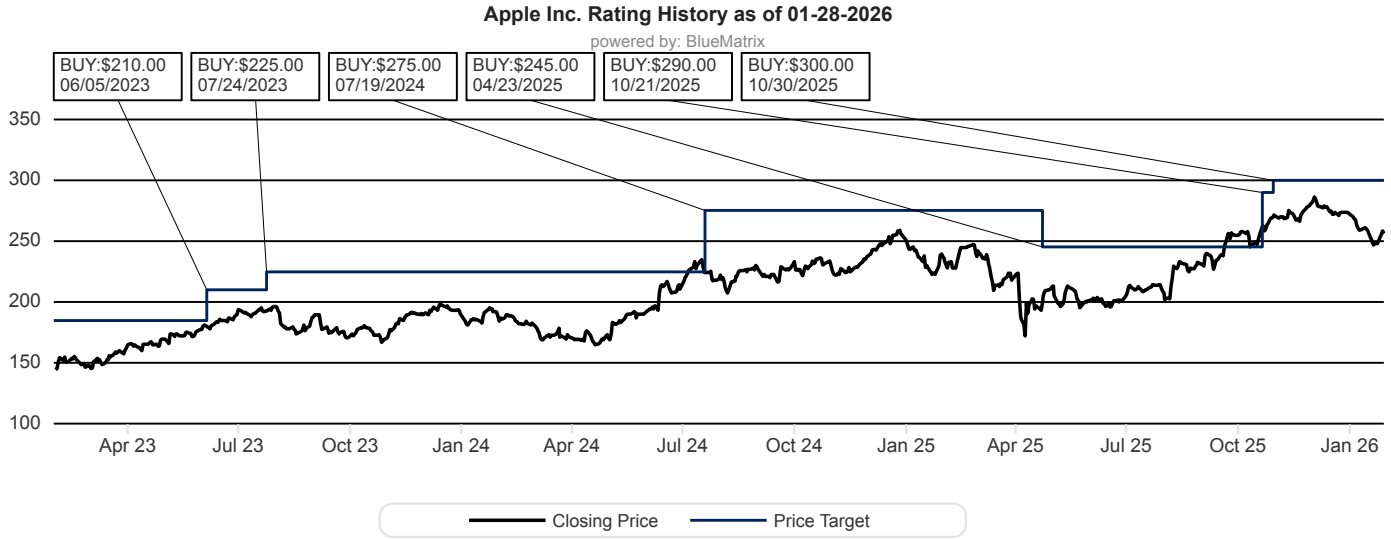

Initiation (I); Drop Coverage (D); Overweight (BUY); Equal Weight (HOLD); Underweight (SELL); Suspended (SR); Not Rated (NR); No Estimate (NE)

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OW=Overweight: Total return on stock expected to be 10%+ over the next 12 months. (BUY)

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UW=Underweight: Total return on stock expected to lag the Overweight- and Equal Weight-rated stocks within the analyst's coverage universe over the next 12 months. (SELL)

NR=Not Rated: The rating and price target has been removed due to lack of fundamental basis to support the recommendation or due to legal, regulatory or company policy considerations.

FINRA regulation requires member firms to assign ratings to one of three rating categories: Buy, Hold and Sell. In accordance with FINRA regulation and solely to satisfy those disclosure requirements in the ratings distribution table and ratings history chart contained in these Required Disclosures, our rating of Overweight corresponds to a Buy rating; Equal Weight corresponds to a Hold rating; and Underweight corresponds to a Sell rating.

As of January 28, 2026
52.6% of companies covered by Wells Fargo Securities, LLC Equity Research are rated Overweight. (BUY)
40.2% of companies covered by Wells Fargo Securities, LLC Equity Research are rated Equal Weight. (HOLD)
7.2% of companies covered by Wells Fargo Securities, LLC Equity Research are rated Underweight. (SELL)

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